

bonds. We have already suggested that an adequate ratio of net current assets to funded debt be considered as one of the specific criteria in the selection of industrial bonds. This criterion should ordinarily be set up in the indenture itself, so that the bondholder will be entitled to the *maintenance* of a satisfactory ratio throughout the life of the issue and to an adequate remedy if the figure declines below the proper point.

The prohibition of dividend payments under such conditions is sound and practicable. But the more stringent penalty, which terms a deficiency of working capital “an event of default,” is not likely to prove effective or beneficial to the bondholder. The objection that receivership harms rather than helps the creditors applies with particular force in this connection. Referring to the United States Radiator 5s, mentioned above, we may point out that the balance sheet of January 31, 1933, showed a default in the 150% working-capital requirement. (The net current assets were \$2,735,000, or only 109% of the \$2,518,000 bond issue.) Nevertheless, the trustee took no steps to declare the principal due, nor was it asked to do so by the required number of bondholders. In all probability a receivership invoked for this reason would have been considered as highly injurious to the bondholders’ interests. But this attitude would mean that the provision in question should never have been included in the indenture.⁵

Voting Control as a Remedy. We have previously advanced and discussed the suggestion that the bondholders’ right to the appointment of trustees in the event of any default might well be replaced by a right to receive *voting control* over the enterprise. Whatever the reader’s view as to the soundness of this suggestion as applied to default in payment of interest or principal, we imagine that he will agree with us that it has merit in the case of “secondary” defaults, *e.g.*, failure to maintain working capital as agreed or to make sinking-fund payments; for the present alternatives—either to precipitate insolvency or to do nothing at all—are alike completely unsatisfactory.

⁵ Similar situations existed in 1933 with respect to G. R. Kinney (shoe) Company 7¹/₂s, due 1936, and Budd Manufacturing Company First 6s, due 1935. Early in 1934, the United States Radiator Corporation asked the debenture holders to modify the provisions respecting both working-capital maintenance and sinking-fund payments. No substantial *quid pro quo* was offered for these concessions. Characteristically, the reason given by the company itself for this move was not that the bondholders were entitled to some remedial action but that the “technical default under the indenture” interfered with projected bank borrowings by the company.